

Credit 1.50

50. Commotion on the floor of the Chicago Board of Trade: distributed data processing.

Capitalism did not defeat communism because capitalism was more ethical, because individual liberties are sacred or because God was angry with the heathen communists. Rather, capitalism won the Cold War because distributed data processing works better than centralised data processing, at least in periods of accelerating technological changes. The central committee of the Communist Party just could not deal with the rapidly changing world of the late twentieth century. When all data is accumulated in one secret bunker, and all important decisions are taken by a group of elderly apparatchiks, you can produce nuclear bombs by the cartload, but you won't get an Apple or a Wikipedia.

There is a story (probably apocryphal, like most good stories) that when Mikhail Gorbachev tried to resuscitate the moribund Soviet economy, he sent one of his chief aids to London to find out what Thatcherism was all about, and how a capitalist system actually functioned. The hosts took their Soviet visitor on a tour of the City, of the London stock exchange and of the London School of Economics, where he had lengthy talks with bank managers,